# Question ID: 24c1b7e4

**Question**

Percentage Point Changes in US Federal Outlays Relative to GDP by Congressional Status

| Period | Congressional status | Change in total outlays | Change in nondefense outlays | Change in defense outlays |
|---|---|---|---|---|
| **1981–1988** | divided | −0.4 | −1.3 | 0.9 |
| **1975–1976** | divided | 2.7 | 3.0 | −0.3 |
| **1977–1980** | undivided | 0.3 | 0.6 | −0.3 |
| **1964–1968** | undivided | 1.9 | 1.4 | 0.5 |
| **1969–1974** | divided | −1.8 | 2.1 | −3.9 |

Economist Steve H. Hanke has shown that divided US Congresses—which occur when one party holds the majority in the House of Representatives and another holds the majority in the Senate—tend to accompany reductions in total federal outlays (spending) relative to gross domestic product (GDP), which Hanke interprets to reflect decreases in government size. Hanke calculated the percentage point change in total outlays (encompassing nondefense and defense outlays) for consecutive US Congresses. Hanke has pointed to his calculations as evidence that a divided Congress may be a “necessary but not sufficient condition” for a decrease in government size to occur.

Which choice best describes data from the table that support the underlined claim?

**Answer**

A. The periods of undivided Congresses were associated with increases in nondefense outlays, whereas all the periods of divided Congresses except one were associated with reductions in defense outlays.

B. All the periods of divided Congresses were associated with reductions in total outlays, although two periods were also associated with increases in nondefense outlays.

C. The periods of undivided Congresses were associated with increases in total outlays, whereas all the periods of divided Congresses were associated with reductions in either nondefense outlays or defense outlays.

D. All the periods of divided Congresses except one were associated with reductions in total outlays, whereas the periods of undivided Congresses were associated with increases in total outlays.